



OVERVIEW OF GLOBAL FINANCIAL MARKET

Agenda

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**HOW MANY OF YOU ARE INVESTED INTO THE
MARKETS?**

Tech Companies have outperformed the S&P 500

Background

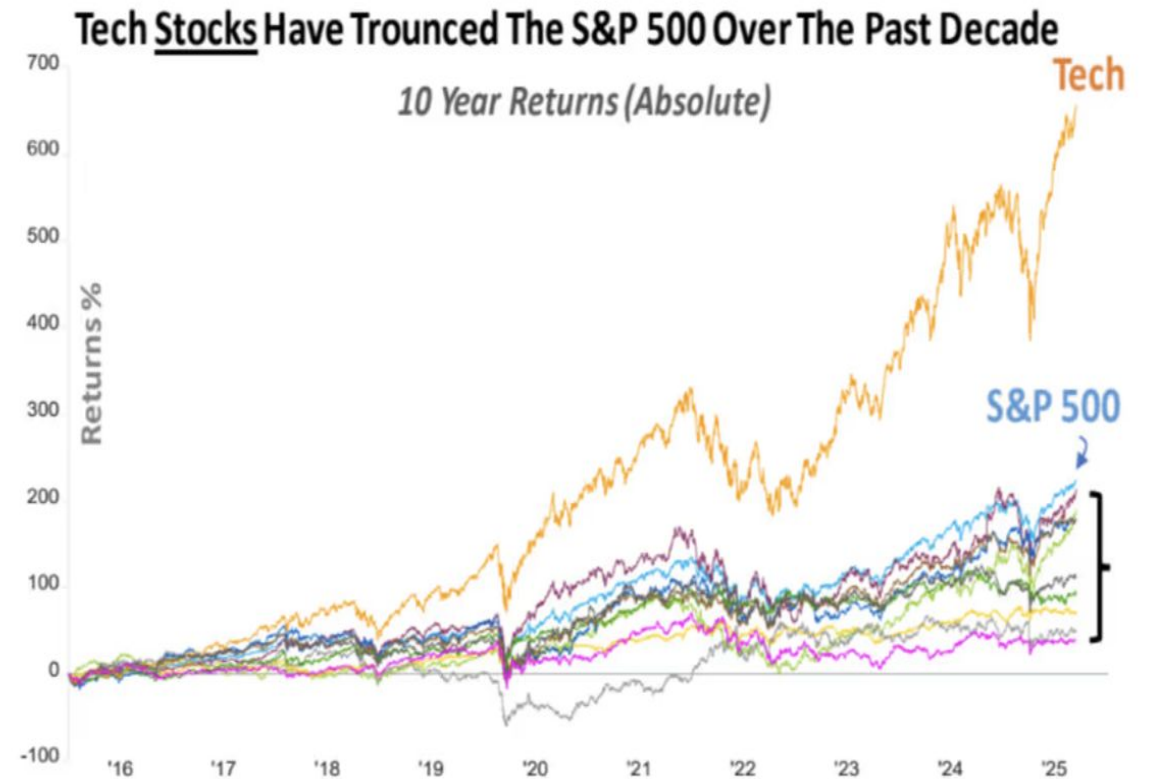
- While the **S&P 500** delivered a strong return of approximately **178%**, the **Information Technology sector** surged by over **450%** in the same period.
- A group of seven companies (The Magnificent Seven) delivered a staggering **698%** combined return from 2015–2024, nearly **4x** the return of the average S&P 500 company.

Market Concentration

- In 2015, the top 7 tech companies made up only **12%** of the S&P 500. By 2025, that weight grew to over **34%**, meaning 1 out of every 3 dollars in the "diversified" index was actually just a bet on Big Tech.
- Between 2023 and 2024, the "Magnificent Seven" rose **156%**, while the other 493 companies in the S&P 500 combined for only **25%** growth.

High Growth ETF is all you need!

- A hypothetical **\$100,000** investment in the S&P 500 in 2018 would have grown significantly, but that same \$100,000 in a Tech/Communications index would have grown to over **\$480,000** by late 2025



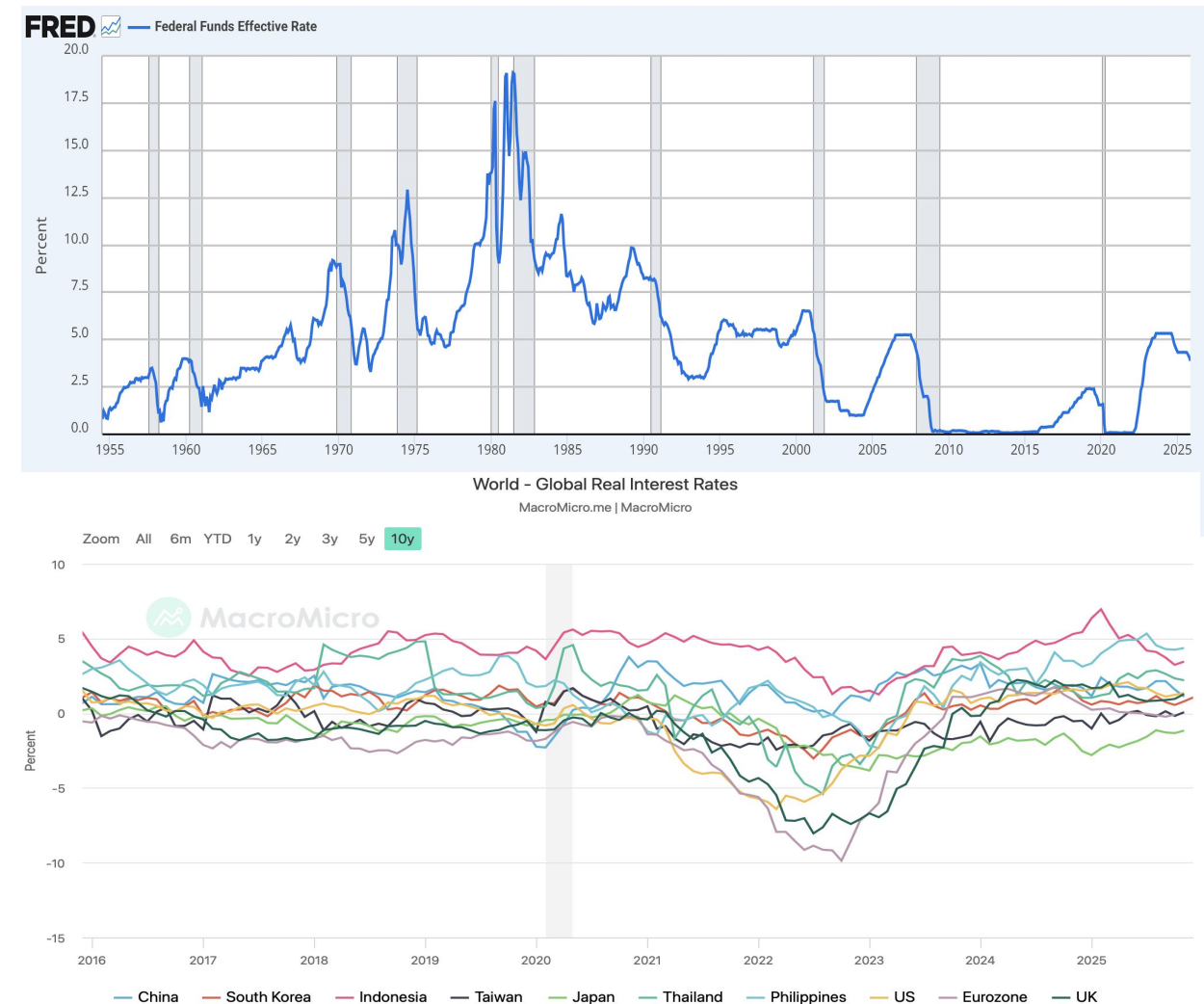
Past Macro Environment

Background

- Zero Interest Rate Policy (ZIRP) meant that money was essentially free. This allowed speculative tech companies to thrive without being profitable and fueled the "passive" S&P 500 boom
- Supply chains were built for speed and low cost. This led to a massive dependence on China and a period of "low inflation" as goods became cheaper every year.

Performance

- Since 2015, the S&P 500 has averaged an annual return of approximately **12.9%**. A \$10,000 investment in 2015 would be worth over **\$33,000** today.
- From 2016 to 2024, the DXY was characterized by "Dollar Exceptionalism," rising from around **98.0** in early 2016 to peaks above **114.0** in 2022. This was driven by higher U.S. interest rates compared to Europe and Japan.
- Gold has delivered a solid **~13.6% CAGR** over the last decade. In 2016, Gold was trading around **\$1,060/oz.** By the start of 2026, it is trading near **\$4,320/oz.**
- India has been the most consistent performer in EM, nearly matching the US over the full decade, but with different cycle timing with 12% annualized gains



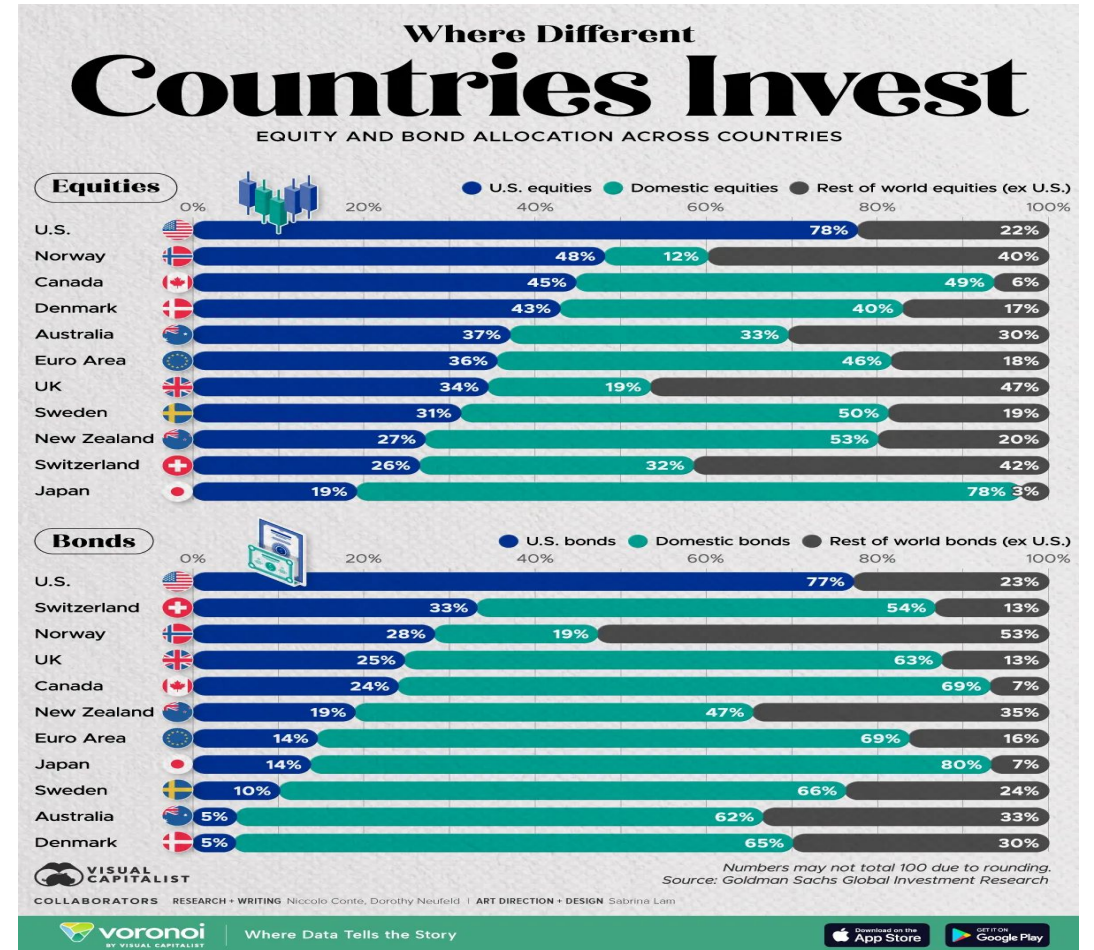
US Exceptionalism led the way

Background

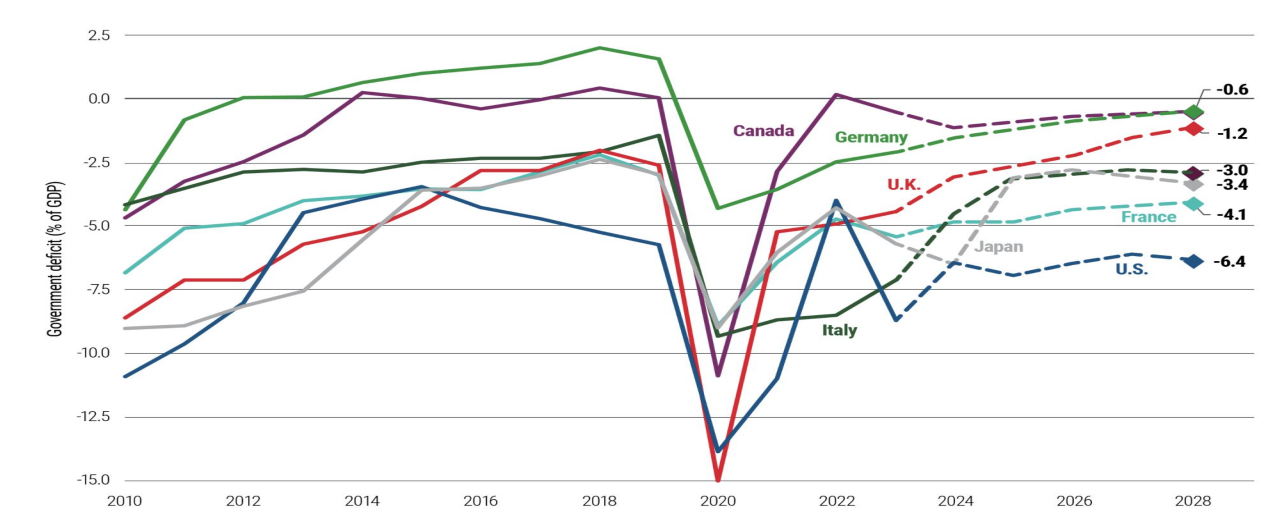
- In 2016, the US national debt was roughly **\$19 trillion**. As of January 2026, it has surged past **\$38 trillion**.
- The US moved from roughly **104%** in 2016 to over **120%** today. Historically, a 100%+ ratio was considered a "danger zone," but the US surpassed it without a typical market crisis.
- The US is currently the world's largest debtor. The difference between what Americans own abroad and what foreigners own in the US is a **negative \$26 trillion**.

Home Bias Reality

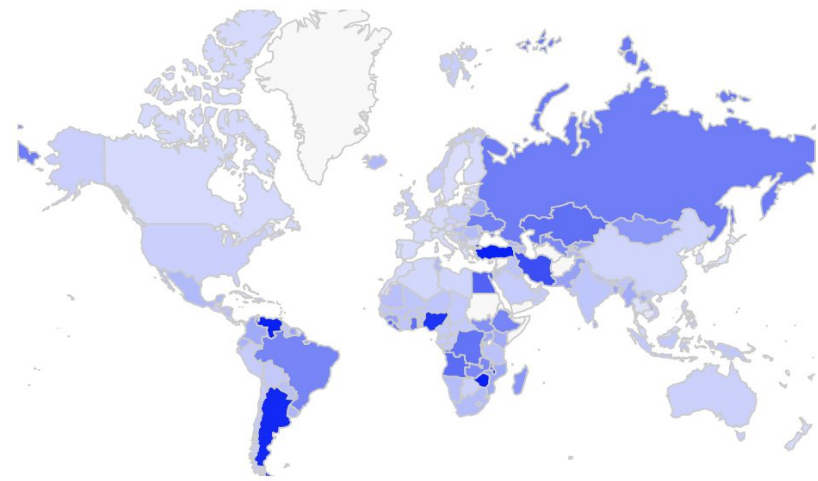
- Despite the fact that 96% of the world's consumers and 40% of the world's GDP are outside the US, investors have funneled almost all their capital into domestic assets.
- The typical retail investor allocation was 90% US Assets and 10% International Assets
- Professional managers (like Vanguard or Fidelity) try to force more diversification, but even they are heavily tilted toward the US:



Current Environment is Messy!



Source: International Monetary Fund (IMF) World Economic Outlook data as of 16 April 2024, U.K. Office for Budget Responsibility (OBR) data as of 6 March 2024, PIMCO calculations. Chart plots annual government deficit to GDP ratio for 67 countries, plus projections (dashed lines) from the IMF (and OBR for the U.K.).



Source: Bloomberg, Financial Times, WSJ, Reuters
Note:

Future Macro Environment

Productivity Pivot

- For the first time, the global working-age population is shrinking in key regions (China, Europe, Japan).
- Generative AI is expected to be the "counterweight," potentially adding **1.5% to annual GDP growth by 2035**. This isn't just a tech trend; it is a survival necessity for aging economies to maintain their standard of living.
- We are seeing a divergence between "AI Winners" (the US and high-tech hubs) and sectors that cannot easily automate. Expect the US to maintain a **2.5%–3% growth rate** while Europe and China struggle near **1%–3%**.

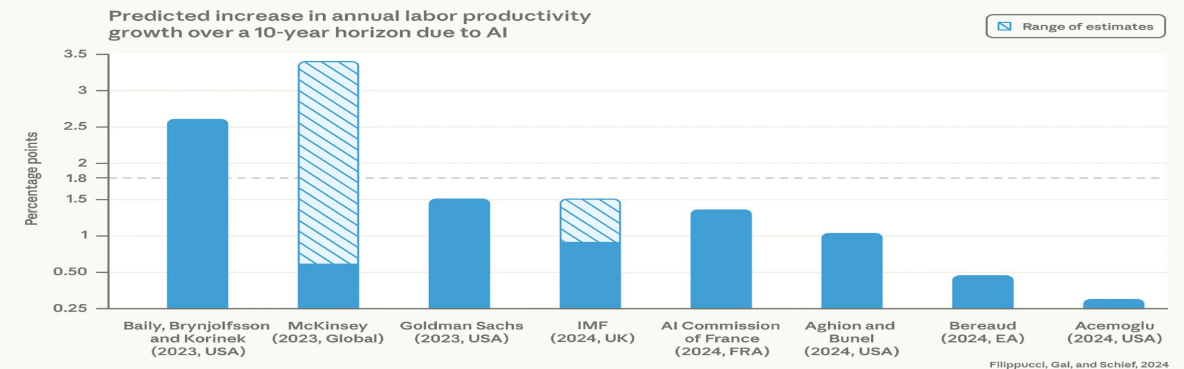
Geopolitical realignment

- Trade is no longer just about commerce; it's being "weaponized." National security now takes precedence over the efficient flow of goods, leading to permanent tariffs and localized manufacturing.
- As the US and China continue to decouple, "middle-power" nations like **India, Mexico, and Vietnam** are becoming the primary beneficiaries. India, in particular, is on track to triple its manufacturing base by 2031.
- While the US Dollar remains the "king" for now, its dominance is fading as regional trade blocs move toward using local currencies or "hard assets" like gold to settle trade.

Source: FRED, Macro Micro

Note:

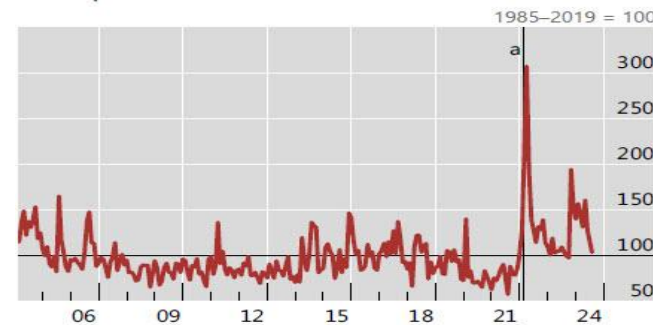
AI's predicted macro-level productivity gains



Geopolitical risk and global trade

Graph 1

A. Geopolitical risk index¹



B. World trade value²



^a Russian invasion of Ukraine (24 February 2022).

¹ The index refers to the number of articles related to adverse geopolitical events as a share of the total number of articles in 10 newspapers each month. ² Calculated as global exports divided by global GDP at current prices.

Sources: Caldara and Iacoviello (2022); Macrobond.

© Bank for International Settlements

Background

Introduction to G7 Markets

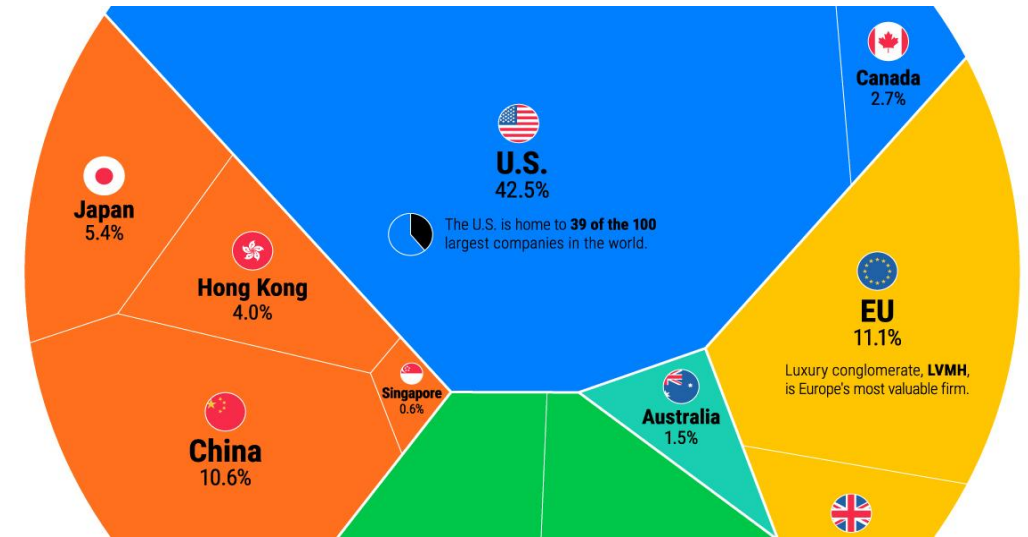
- United States, United Kingdom, Japan, Germany, France, Italy, Canada
- Represent the world's most advanced developed economies, coordinating on fiscal, monetary, and trade policy
- **Collectively account for approximately. 24-50% of global GDP, as well as 60% equity mark capitalization**

Role in Financial Markets

- **The core of global equity allocation, base foundation of the MSCI and major ETFs**
- Institutional anchor for capital flows, sets tone for global risk appetite
- Largest and most liquid capital markets, which influence overall market momentum through US, Japan, and the UK
- Safe Haven – In volatile periods, capital flows into G7 equities and bonds, serving as a non-systemic mitigator
- Innovation – G7 exchanges(NYSE, LSE, TSE, Deutsche Borse) serve as jump starters for IPOs and tech growth

Large Players

- USA – Innovation-driven, tech-heavy, deepest capital markets
- Europe (UK, Germany, France, Italy): Industrial base, dividend culture, rate sensitivity
- Japan – Export led, yen-sensitive, very strong reformative momentum
- **Canada – Energy and Commodities focused, strong banking sector**



Intro to Emerging Markets

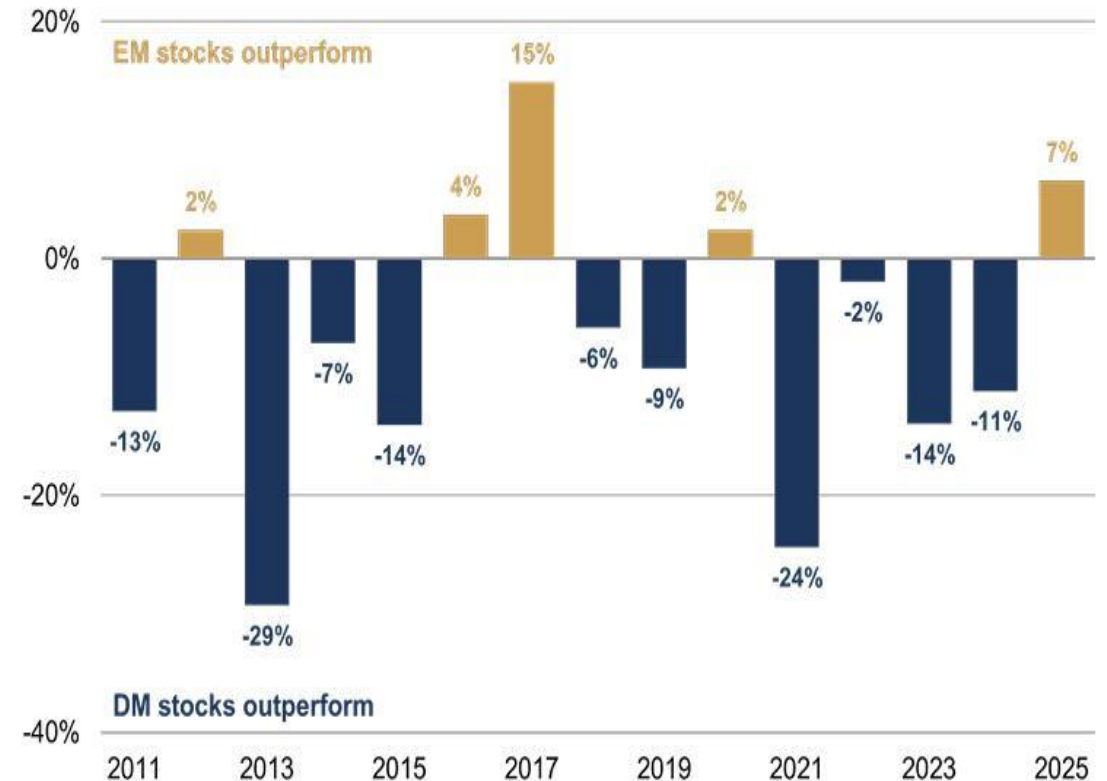
Emerging Markets are economies transitioning from "developing" to "developed" status. They are characterized by **high growth, rapid industrialization,** and **improving financial transparency**, but they still carry higher volatility than the US or Europe.

Role in Financial Markets

- EM nations now account for **over two-thirds (66%) of global GDP growth**. If the world economy grows this year, it is mostly because of them.
- Because EMs often move differently than US Tech, they act as a "balance" in a portfolio. When the S&P 500 is overvalued (trading at 38x earnings), EMs offer value (trading at ~16x earnings)

Market Characteristics

- EM economies typically grow **2-3 times faster** than developed nations. In 2026, EM growth is projected at ~4.2% vs. ~1.6% for advanced economies.
- Unlike the aging West, many EMs have young, tech-savvy workforces that drive consumption.
- They are actively opening their stock and bond markets to foreign investors (e.g., Vietnam's recent market upgrade).



Macro-Drivers for equities

Growth & Earnings Cycles

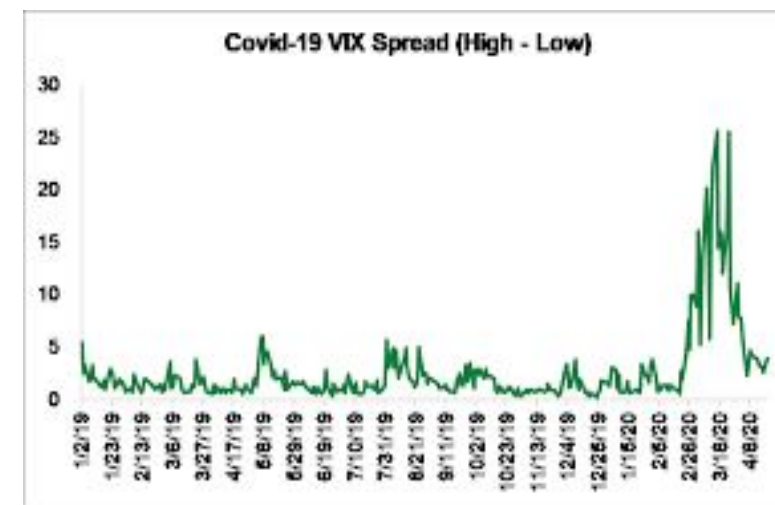
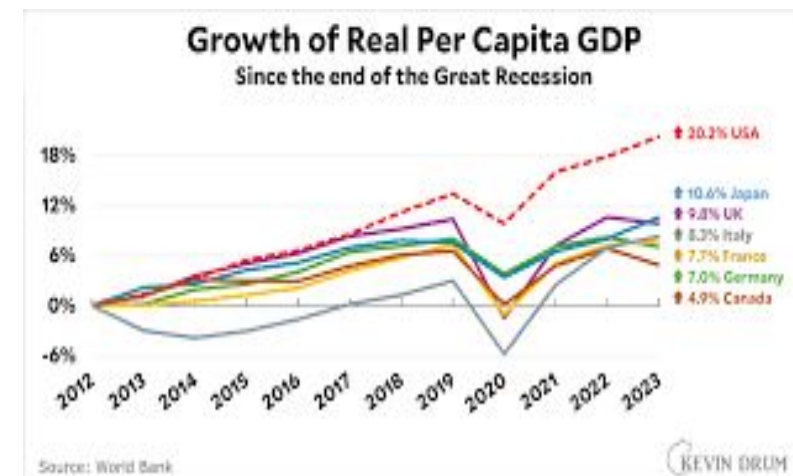
- Equity returns track GDP growth and Corp. Earnings momentum
- USA and Eurozone more aligned with EPS while Japan and Canada more with Export and Commodity cycle
- Slowing Growth -> EPS downgrades and rotation to defensive sectors (Utilities, Healthcare)
- Accelerating growth -> cyclical outperformance (Industrials, Tech)

Macro & Inflation Dynamics

- Slight/moderate inflation is equity supportive (through pricing power and growth)
- High inflation compresses P/E as discount rates rise
- UK & Eurozone – Value-oriented, benefit from resilience in energy and materials
- USA – Valuation sensitive, high inflation triggers FED tightening -> equity reprice, typically unfavorable

VIX – Market Volatility

- **VIX (US) and VSTOXX (Europe) measure expected market volatility derived from equity index options (S&P 500, Euro STOXX 50)**
- Called a "fear gauge" for rising volatility because of market stress
- VIX rises -> high volatility -> shift into defensive stocks due to risk aversion
- VIX lowers ->: lower volatility -> rotate into cyclical and return on bullish behavior
- **Different Regional sentiment (VXJ based more on yen sensitivity, VIX global, VSTOXX on ECB uncertainty)**



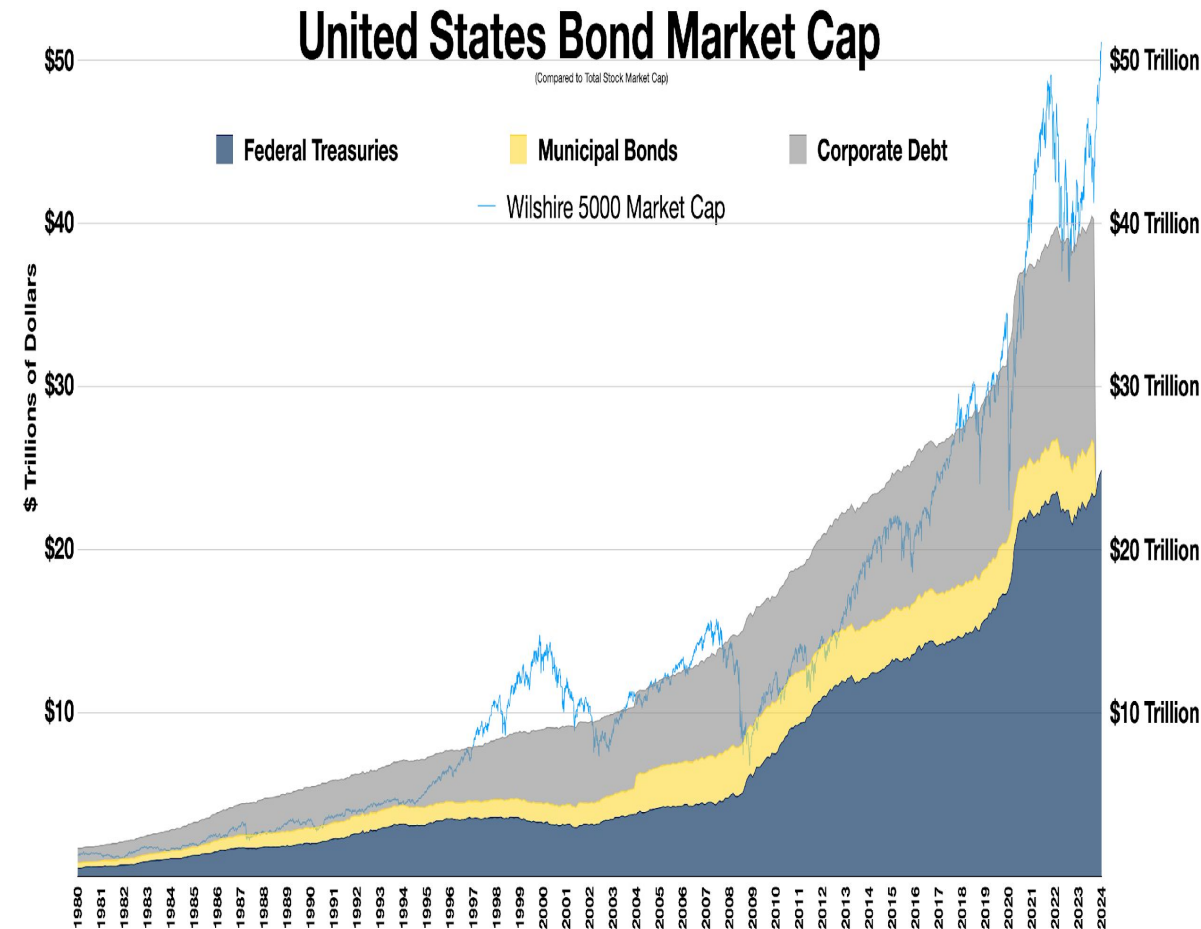
Intro to Bond Market

Background

- A bond is an "IOU" where an entity (government or corporation) borrows your money for a set period. In return, they legally contract to pay you regular interest (the **Coupon**) and return your original investment (the **Principal**) on a specific date (the **Maturity**)
- The bond market is significantly larger and generally less volatile than the stock market. Because its payments are predictable, it serves as the foundation for the global financial system, setting the "cost of money" for mortgages, car loans, and business expansion

Primary Drivers

- The longer the bond's term, the more sensitive it is to rate changes. A **10-year bond** will drop much further in price than a **2-year bond** for the same 1% rise in interest rates because the investor is "stuck" with an inferior rate for a longer period
- A bond may pay a **5% interest rate** (Nominal), but if inflation is **4%**, your "Real" return is only **1%**. If inflation hits **6%**, you are effectively losing 1% of your wealth every year despite receiving payments.
- Investors demand a higher interest rate (a "spread") for riskier borrowers. A tech startup must pay a much higher yield than the **US Treasury** to compensate you for the risk that the startup might go bankrupt.



Introduction to FX

Introduction

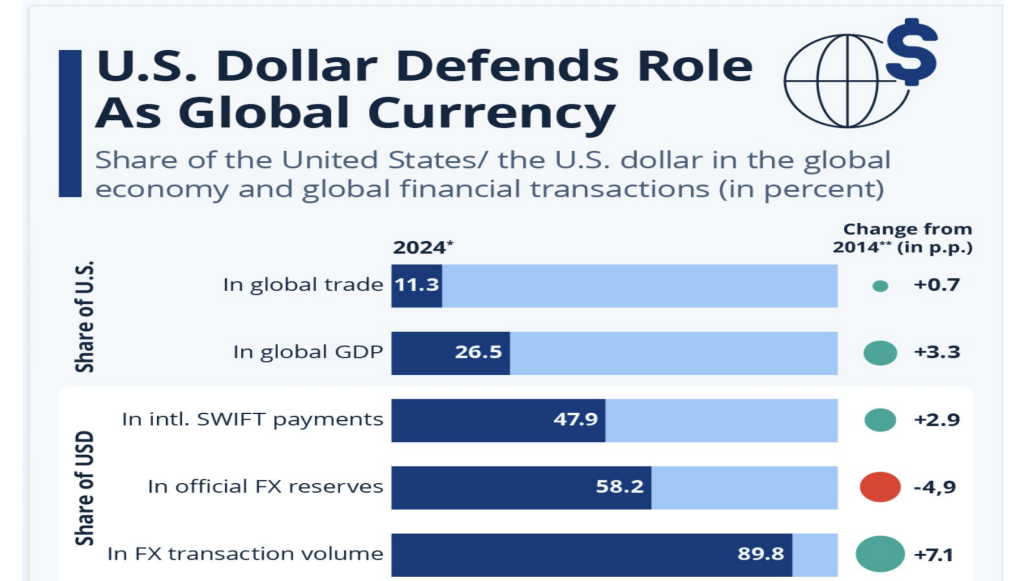
- Foreign Exchange (FX) is the **global market** where currencies are bought and sold
- Currencies **trade in pairs**, showing the value of one currency relative to another (EUR/USD)
- The FX market operates **24 hours a day**, 5 days a week, moving with global financial centers (Asia → Europe → U.S.)
- FX is the **most liquid market** in the world, with roughly \$7 trillion traded daily
- Major participants include **central banks, commercial banks, hedge funds, corporations, asset managers, and retail traders**

Drivers of FX

- FX reflects the **economic strength** and **political stability** of countries
- Every **international investment, trade, and payment flows** through FX
- PMs use FX to **hedge** global portfolios, **reduce** foreign currency risk, and **manage** volatility
- FX provides macro signals, revealing shifts in **capital flows, risk sentiment, and global policy trends**
- Because of its **high liquidity**, FX is one of the cleanest, most technically traded markets, making trends and price levels highly relevant

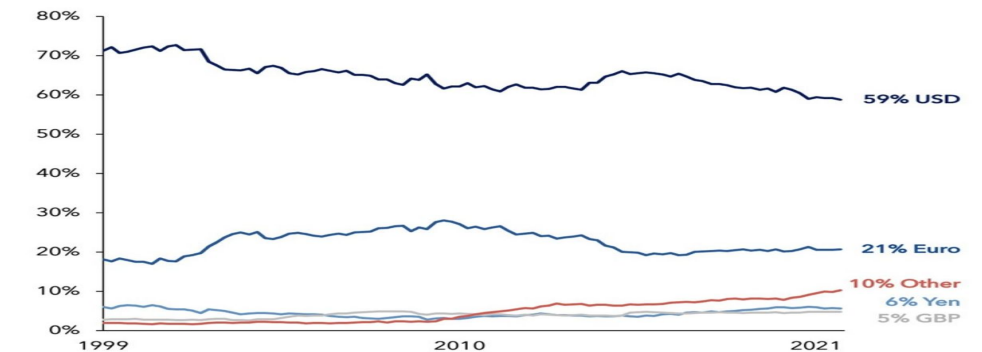
Source: Bloomberg, Financial Times, WSJ, Reuters

Note:



Currency composition

Nontraditional currencies have played a larger role in global foreign exchange reserves in recent years.
(currency composition of global foreign exchange reserves, percent)



Sources: IMF Currency Composition of Official Foreign Exchange Reserves (COFER).
Note: The "other" category contains the Australian dollar, the Canadian dollar, the Chinese renminbi, the Swiss franc and other currencies not separately identified in the COFER survey. China became a COFER reporter between 2015 and 2018.

IMF

PORTFOLIO CONSTRUCTION

US Tech Outperformance will continue

Current State

- Tech firms can grow revenue significantly without a matching increase in employees. In 2025, tech giants are generating **3x more profit per employee** than traditional industrial firms.
- Tech companies reinvest **15–25% of revenue** back into Research & Development (R&D). This "innovation spend" ensures they stay ahead of competitors, effectively buying their future market share today

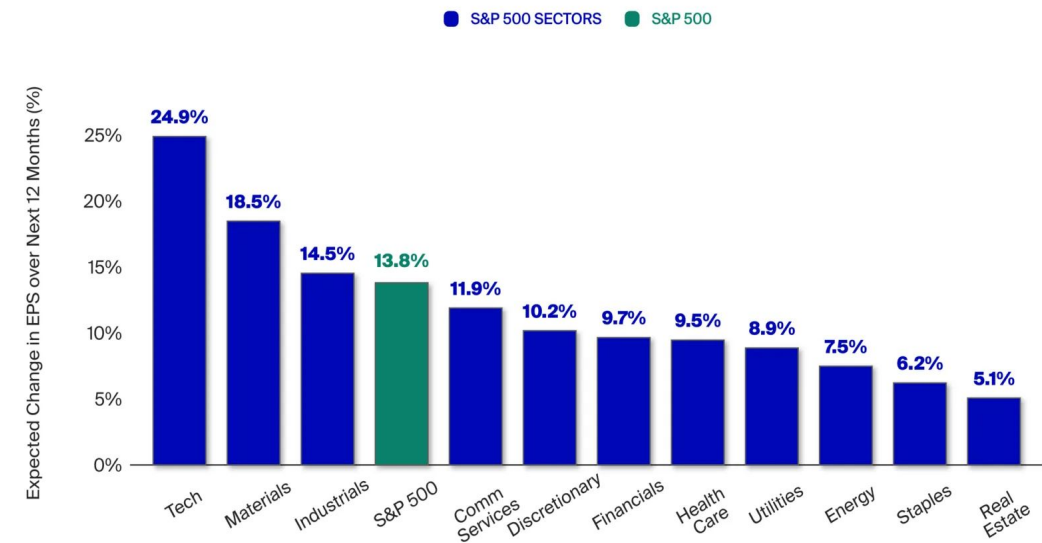
Drivers

- 2026 marks the rise of AI agents that can manage entire business functions—like handling a customer’s return, booking travel, or writing and deploying software—without human oversight
- The global robotics market is projected to grow from **\$73B in 2025 to over \$185B by 2030**. This isn't just factory arms; it's humanoid robots and autonomous logistics "cobots" working alongside humans
- The AI chipset market is expected to grow from **\$79B in 2026 to over \$1.1 Trillion by 2035**. US tech owns the intellectual property for the "brains" of the global economy.

Expected Earnings Growth by Sector

Consensus Expected Earnings Growth over the Next 12 Months

Current



Source: © Exhibit A, FactSet Research Systems Inc., Standard & Poor's | Latest: 2025-11-21

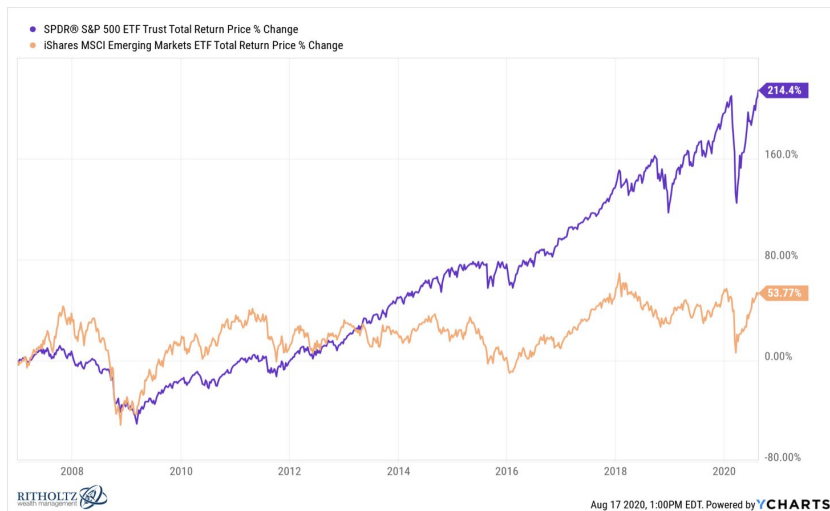
This slide is for informational and illustrative purposes only. The data provided is believed to be accurate, but there is no guarantee of its accuracy, completeness, or timeliness. This is not a recommendation or offer of any financial product. **Past performance is not indicative of future results, and investors should consider their own objectives and risk tolerance.** Indices, if presented, do not include fees, are unmanaged, and not available for direct investment. Definitions & Methodology: The S&P 500 tracks the performance of 500 large-cap U.S. companies, serving as a benchmark for the U.S. stock market. The index is weighted by market capitalization. The 11 S&P 500 Sectors represent the 11 distinct categories of companies within the S&P 500 index, each reflecting a specific area of the economy. Forward Earnings Growth represents the projected growth in earnings for companies over the next 12 months, based on consensus estimates for net income as aggregated by FactSet. This metric indicates the expected rate at which a company's earnings are expected to grow, providing insight into future profitability and overall corporate performance. The chart shows the expected earnings growth by sector along with the S&P 500 sorted highest to lowest.

Emerging Market Outperformance

Background

- On the surface, Emerging Markets (EM) look like they underperformed the S&P 500, but that is largely due to the "China Drag." If you look closer, individual stars like India and Vietnam actually kept pace with the US.
- Over the last 10 years (2015–2025), the broad **MSCI Emerging Markets Index** grew by only ~60%, compared to the S&P 500's ~240%. This was caused by a stagnant Chinese market, which makes up nearly 25% of the index.

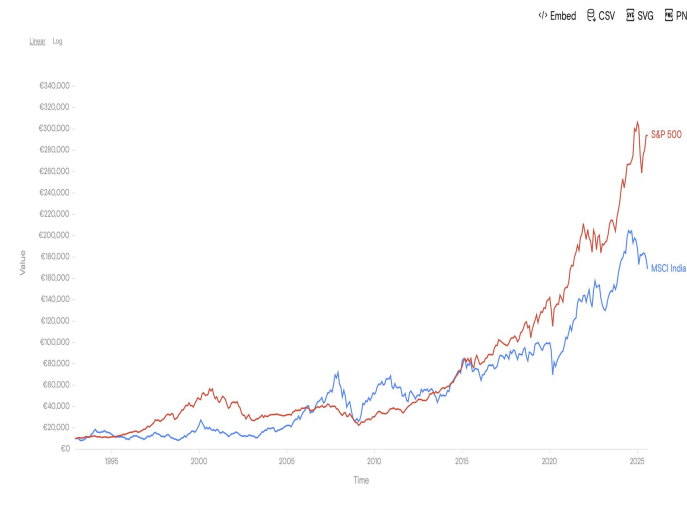
Recent Performance of the Industry



India

- India is the current growth engine of the global economy said to grow around 6% annually till 2030
- Has one of the youngest population in the world with a median age of 28
- India's NIFTY 50 returned 12% annually over the last decade

India Stock Performance



Vietnam

- In Late 2025, Vietnam was upgraded to emerging market status, which is expected to bring billions into their market
- Vietnam is the primary beneficiary from the trade tensions between US-China
- They also launched a national semiconductor strategy with goal of owning 10% of the chip market

Vietnam Stock Performance

TOTAL RETURN COMPARISON (IN USD TERMS)



Source: Bloomberg, CapIQ

Note:

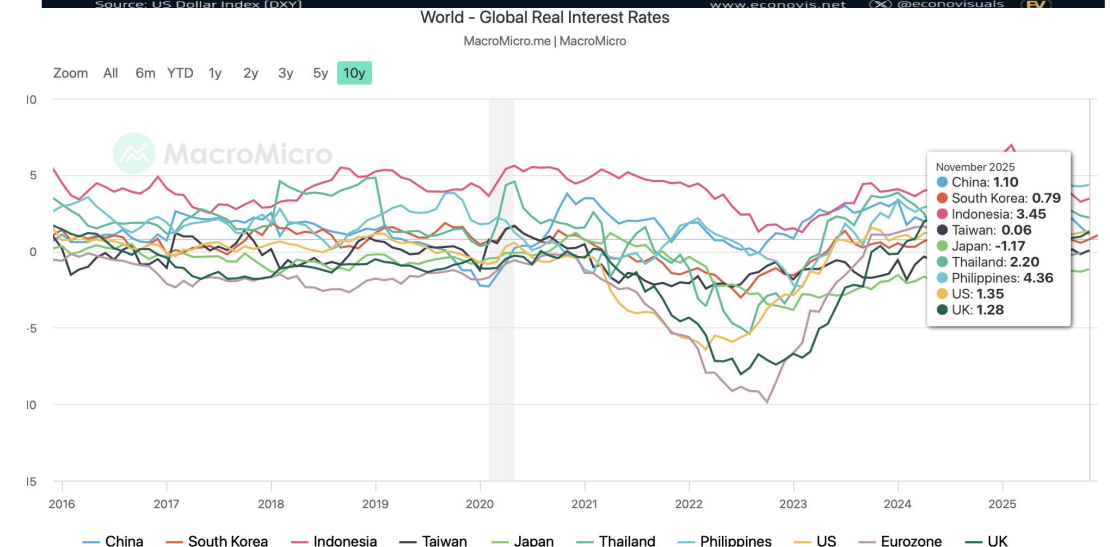
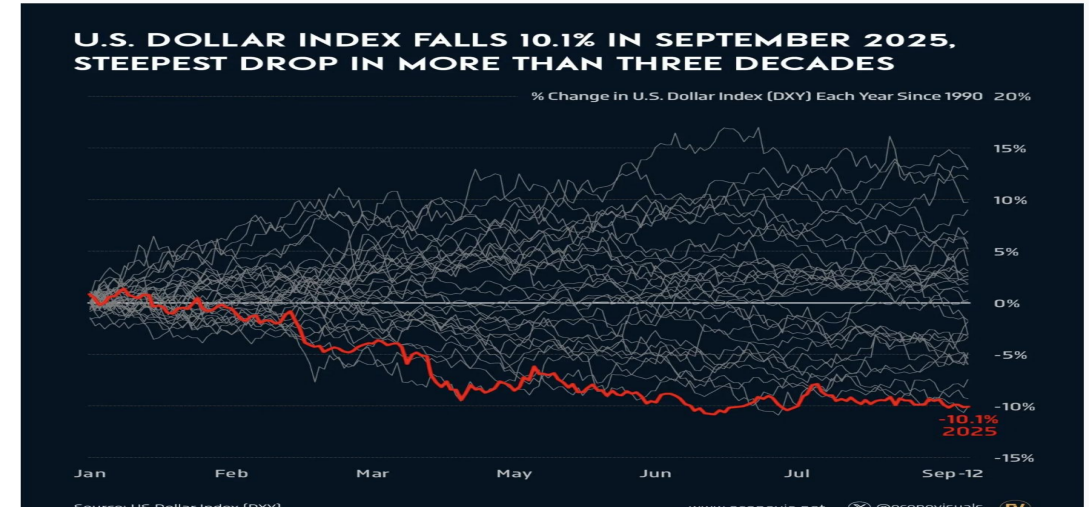
End of US Dollar Dominance

Background

- **Over the past few years,** The US Dollar Index (DXY) hit multi-decade highs during this period, fueled by US interest rates being significantly higher than those in Europe or Japan
- In 2025, the USD saw its worst annual performance in nearly a decade, falling roughly **9.5%**. This signaled the potential end of the "super-cycle" as the Fed shifted toward rate cuts.

Current State

- As of early 2026, the Fed has lowered rates toward a "neutral" level of **3.00%–3.25%**. Meanwhile, the Bank of Japan (BoJ) is finally raising rates, and the ECB has paused its cuts.
- With Jerome Powell's term ending in May 2026, markets are pricing in "policy uncertainty." If the next Fed Chair is viewed as more "dovish" (favoring lower rates), the dollar could face further downward pressure.



Local Currency Emerging Market Bonds

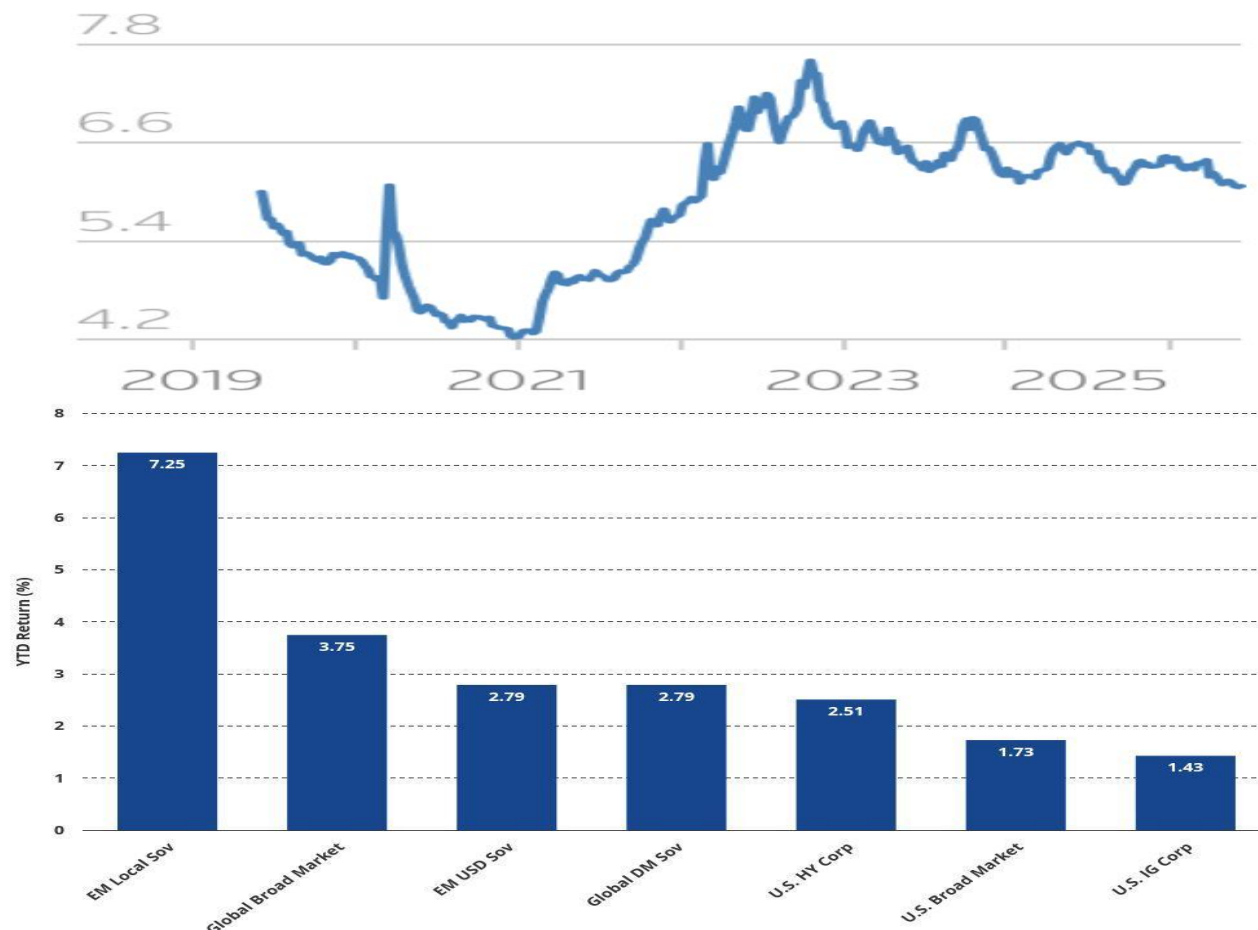
Introduction

- In a year where US Treasuries struggled with "fiscal drift" and sticky inflation, Emerging Market (EM) local currency bonds were the surprise winners of the fixed-income world with EM bonds returning 14%
- This asset class outperformed nearly every other bond segment, including US High Yield and US Treasuries (which returned only ~4.5%)

Drivers

- In a year where US Treasuries struggled with "fiscal drift" and sticky inflation, Emerging Market (EM) local currency bonds were the surprise winners of the fixed-income world.
- EM local bonds are trading at a **significant discount** compared to US Treasuries. As of late 2025, the "Real Yield" (interest minus inflation) in many emerging markets is **3x higher** than in the US
- When the dollar enters a multi-year "bear market," local currency debt tends to crush standard US fixed income.

Local currency bond yield on JPM GBI-EM Global Diversified



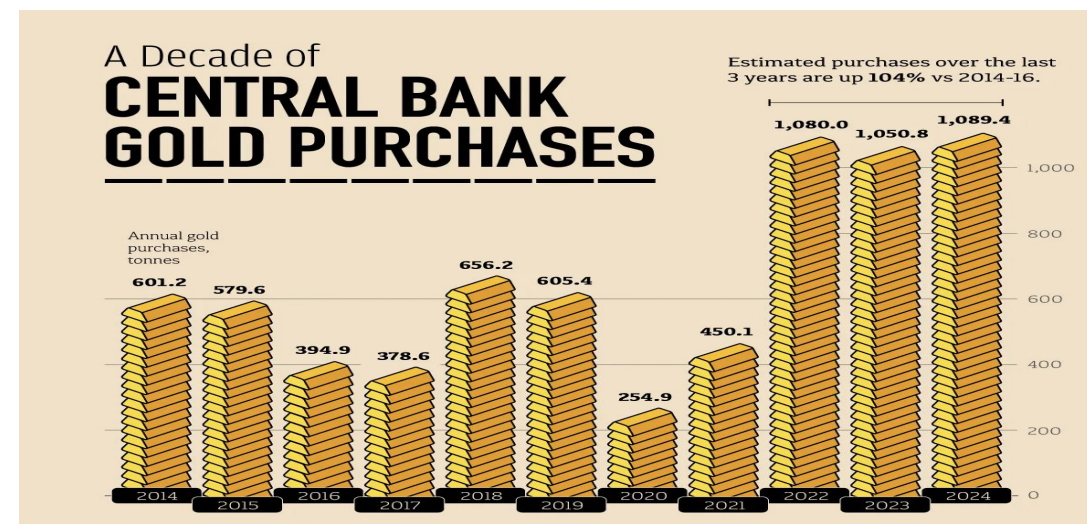
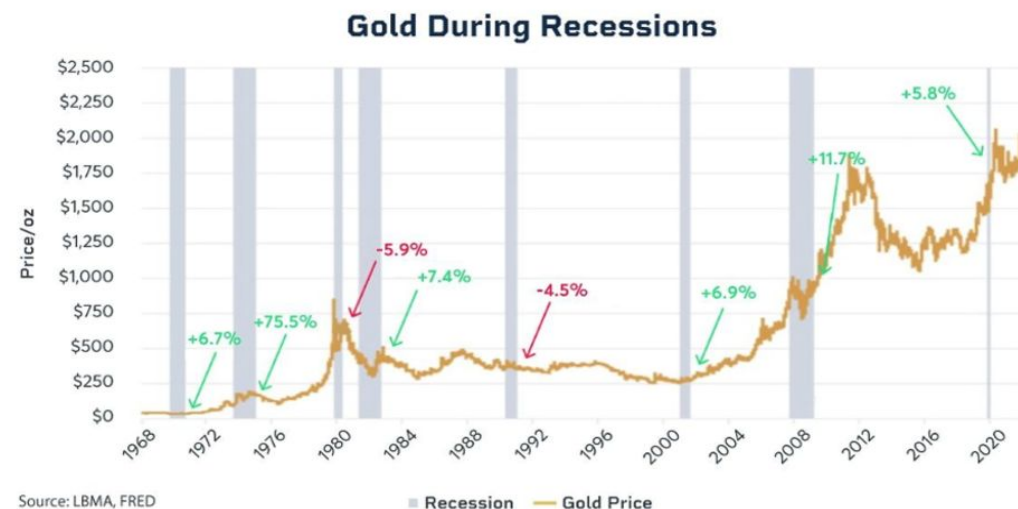
Gold

Introduction

- Gold just finished its strongest year in over 40 years. If you didn't own gold in 2025, you likely underperformed the broader market.
- Gold surged approximately **+65% to +72%** in 2025, peaking near **\$4,550/oz** in late December
- As the Fed cut rates in 2025, the "cost" of holding gold (which pays no interest) dropped, making it more attractive than cash or bonds.

Drivers

- Currently, gold accounts for only about 2.8% of global financial assets. If institutional investors move that to just **5%** (a standard historical norm), prices would likely double again
- 95% of central banks surveyed in 2025 plan to **increase** their gold holdings over the next year. This provides a permanent "floor" under the price that didn't exist in previous decades
- With US debt at \$38 trillion and interest costs at \$1 trillion, gold acts as the ultimate insurance policy. If the "Dollar System" faces a credibility crisis, gold is the only exit ramp.



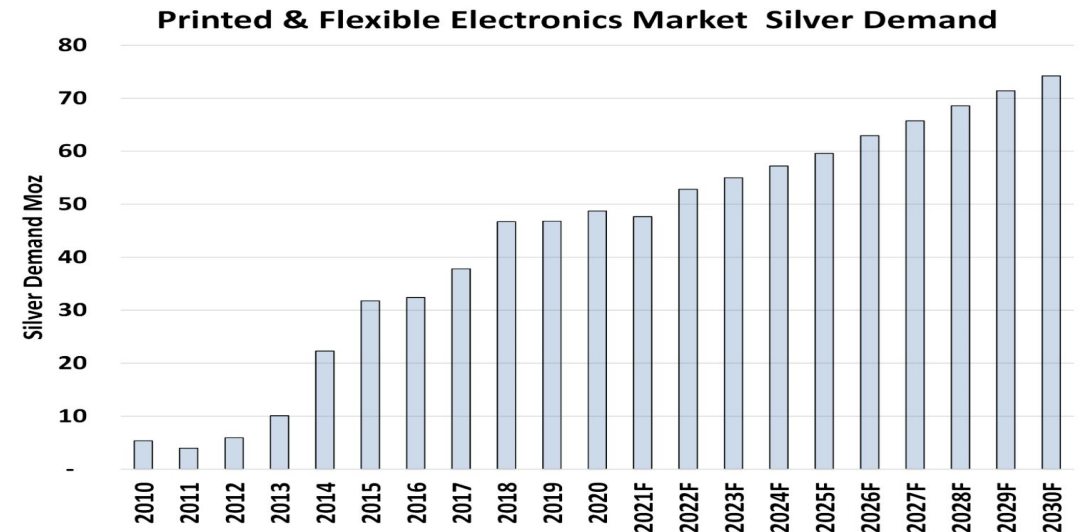
Silver

Introduction

- **The 2025 Surge:** Silver prices skyrocketed by over **150% in 2025**, rising from ~\$30/oz in January to an intraday peak of over **\$80/oz** in late December.
- To put that in perspective, while the S&P 500 returned ~11% and Gold returned ~62%, Silver's triple-digit gains made it the #1 performing major commodity of the year.

Drivers

- In 2025, the US Department of the Interior officially added silver to the **Critical Minerals List**. This changed its status from a "precious metal" to a "strategic asset" essential for national security and the AI race.
- Silver is the most electrically conductive metal on Earth. It is irreplaceable in **AI data centers**, **solar panels**, and **EVs**. In 2025, industrial demand accounted for over 55% of total supply, and for the 5th straight year, the world used more silver than it mined
- Weak dollar is a bullish signal for silver, as foreign investors can now use their currency to buy more silver than they could have bought before with a weaker currency



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